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DEPARTMENT OF
INDUSTRIAL ENGINEERING & MANAGEMENT

Date : 06.11.2025	CIE – I	Max. Marks : 10 + 50
Semester : V	UG	Duration : 30 + 90 Min
Course Title: Principles of Management and Economics		Course Code : HS251TA

Note:

1. Answer all the Questions.

Sl. No	Questions	M	BT	CO
Part – A				
1	Why do managers need to be both efficient and effective?	2	L1	01
2	Mention three important skills required to be an effective manager.	2	L2	02
3	Differentiate between Unity of command and Unity of direction.	2	L2	01
4	Why should managers have a basic knowledge of economics?	2	L2	04
5	What does the circular flow of income illustrate in an economy?	2	L1	04
Part – B				
1	A manufacturing firm is facing issues with productivity and frequent machine breakdowns. The management decides to reorganize shop-floor activities and assign specific tasks to workers based on time and motion studies. Incentives are planned for those who achieve higher productivity. Analyse the above case using Frederick Taylor's Scientific Management principles. Which principles are being applied, and how could they help improve efficiency?	10	L2	01
2	A growing IT company notices that despite excellent pay, employees show low morale and poor teamwork. The management brings in a consultant who focuses on employee well-being, informal group interactions, and feedback sessions. Evaluate the management's approach using Elton Mayo's Human Relations Theory. What lessons can be learned from the Hawthorne Experiments in this context?	10	L3	02
3	A CEO represents the organization at a global conference, negotiates mergers, sets strategic goals, and ensures communication across all divisions. Explain how this situation reflects Mintzberg's 10 managerial roles, grouped into their respective categories.	10	L3	01
4	A leading automobile manufacturer notices that the demand for its vehicles has declined due to an increase in petrol prices and the entry of a new competitor offering electric vehicles at lower prices. Meanwhile, the government is implementing policies to stabilize inflation and boost employment. Using the principles of microeconomics and macroeconomics, analyse how both these levels of economic study help in understanding and addressing this situation.	10	L2	04
5	Explain the two-sector circular flow model with the help of an example. How does it demonstrate the interdependence between households and firms in an economy?	10	L2	04

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CIE 1 POME Economics Quiz Solutions

Part – A

1. Why do managers need to be both efficient and effective? (2 Marks) Answer: Managers need a balance of both to ensure organizational success:

- **Efficiency** refers to "doing things right" or getting the most output from the least amount of inputs (minimizing resource waste).
- **Effectiveness** refers to "doing the right things" or completing activities so that organizational goals are achieved.
- **Reasoning:** A manager who is efficient but not effective may produce products at a low cost that no one wants to buy. Conversely, a manager who is effective but not efficient may achieve goals but at such a high cost that the organization loses money. Therefore, high performance requires both high efficiency and high effectiveness.

2. Mention three important skills required to be an effective manager. (2 Marks) Answer: According to Robert Katz, the three essential management skills are:

1. **Technical Skills:** Job-specific knowledge and techniques needed to perform specific tasks proficiently (most important for first-line managers).
2. **Human (Interpersonal) Skills:** The ability to work well with other people, both individually and in a group (equally important at all levels).
3. **Conceptual Skills:** The ability to think and conceptualize about abstract and complex situations; seeing the organization as a whole (most important for top managers).

3. Differentiate between Unity of command and Unity of direction. (2 Marks) Answer:

Unity of Command | Unity of Direction | | :--- | :--- | | **Concept:** Implies that an employee should receive orders from one superior only. | **Concept:** Implies that there should be "one head and one plan" for a group of activities having the same objective. | | **Focus:** Relates to the functioning of individual personnel. | **Focus:** Relates to the functioning of a department or the organization as a whole. | | **Purpose:** Prevents dual subordination and confusion. | **Purpose:** Ensures coordination and unity of action. |

4. Why should managers have a basic knowledge of economics? (2 Marks) Answer:

Managers operate within an economic environment, and basic economic knowledge helps them:

1. **Decision Making:** Understand concepts like opportunity cost and marginal analysis to make better resource allocation decisions.
2. **Market Understanding:** Analyze supply and demand trends to set appropriate prices and production levels.
3. **External Factors:** Understand how inflation, interest rates, and government policies impact business costs and consumer purchasing power.

5. What does the circular flow of income illustrate in an economy? (2 Marks) Answer: The circular flow of income is an economic model that illustrates the continuous movement of money, goods, and services between the major sectors of an economy (primarily **Households** and **Firms**).

- It shows how **Households** provide factors of production (land, labor, capital) to Firms and receive income (rent, wages, interest).
- It shows how **Firms** produce goods and services for Households and receive consumer expenditure in return.

Part – B

1. A manufacturing firm is facing issues with productivity and frequent machine breakdowns. The management decides to reorganize shop-floor activities and assign specific tasks to workers based on time and motion studies. Incentives are planned for those who achieve higher productivity. Analyse the above case using Frederick Taylor's Scientific Management principles. Which principles are being applied, and how could they help improve efficiency? (10 Marks)

Answer:

Analysis using Frederick Taylor's Scientific Management: Frederick Winslow Taylor, known as the father of Scientific Management, believed that there was a "one best way" to perform every task. In this case, the management is moving away from traditional methods to a scientific approach to solve productivity issues.

Principles being applied:

1. **Science, Not Rule of Thumb:**

- *Application:* The management is conducting "**time and motion studies**" to determine the most efficient way to perform tasks rather than relying on workers' intuition or past habits.
- *Benefit:* This replaces guesswork with precision. By scientifically analyzing the work, unnecessary movements are eliminated, reducing fatigue and the time taken to complete a task.

2. **Scientific Selection, Training, and Development of Workers:**

- *Application:* The firm is "**assigning specific tasks**" to workers. This implies matching the worker's capabilities to the specific requirements of the job (Specialization) and likely training them in the new methods derived from the studies.
- *Benefit:* When workers are assigned tasks they are best suited for and trained in the "one best way," their individual efficiency increases significantly.

3. **Harmony, Not Discord (Mental Revolution):**

- *Application:* While not explicitly stated as a conflict resolution, the introduction of incentives aims to align the interests of the management (higher productivity) with the interests of the workers (higher pay).

- *Benefit:* It reduces friction between management and labor by creating a system where both parties benefit from increased output.

4. **Cooperation, Not Individualism:**

- *Application:* The use of "**incentives... for those who achieve higher productivity**" relates to Taylor's **Differential Piece-Rate System**.
- *Benefit:* This motivates efficient workers to work harder to earn more, directly linking pay to performance. It standardizes output expectations.

Conclusion: By implementing these principles, the firm will likely see reduced machine breakdowns (due to standardized handling defined by the studies) and higher productivity (due to specialization and financial motivation). The approach shifts the shop floor from chaotic "rule of thumb" operations to a disciplined, data-driven environment.

2. A growing IT company notices that despite excellent pay, employees show low morale and poor teamwork. The management brings in a consultant who focuses on employee well-being, informal group interactions, and feedback sessions. Evaluate the management's approach using Elton Mayo's Human Relations Theory. What lessons can be learned from the Hawthorne Experiments in this context? (10 Marks)

Answer:

Evaluation using Elton Mayo's Human Relations Theory: The management's initial failure ("despite excellent pay, employees show low morale") highlights the limitations of the Classical/Scientific Management approach, which views workers merely as "economic men" motivated solely by money. The new approach aligns perfectly with **Elton Mayo's Human Relations Theory**, which treats workers as "social men."

Analysis of the Approach:

- **Focus on Well-being:** Mayo's theory suggests that physical conditions (like pay or lighting) are less important than psychological and social factors. By focusing on well-being, the company acknowledges the workers' human needs.
- **Informal Group Interactions:** The management is encouraging social bonding. Mayo found that **informal groups** within the workplace exert a powerful influence on individual behavior and productivity. If the group norms are positive, productivity rises.
- **Feedback Sessions:** This provides employees with a sense of importance and participation, fulfilling their esteem and belonging needs.

Lessons from the Hawthorne Experiments applicable here:

1. The Hawthorne Effect:

- In the experiments, productivity increased simply because workers felt they were being observed and that management cared about their welfare.
- *Context:* By holding feedback sessions and focusing on well-being, the IT company is showing it cares, which alone can boost morale and output.

2. Social Factors over Economic Factors:

- The experiments proved that while money is important, **social satisfaction** (recognition, belonging, being part of a team) is often a stronger driver of productivity.
- *Context:* The "excellent pay" was not enough because the social needs were unmet.

3. The Power of Informal Groups:

- The Bank Wiring Room experiment showed that workers set their own production norms (group standards) regardless of management targets.
- *Context:* By fostering positive "informal group interactions," the company is trying to ensure that group norms align with organizational goals (better teamwork) rather than resisting them.

Conclusion: The management's shift is highly appropriate. In a knowledge-based industry like IT, where collaboration is key, the Human Relations approach is far more effective than strict control. The focus on social dynamics will likely repair the "poor teamwork" and "low morale" issues.

3. A CEO represents the organization at a global conference, negotiates mergers, sets strategic goals, and ensures communication across all divisions. Explain how this situation reflects Mintzberg's 10 managerial roles, grouped into their respective categories. (10 Marks)

Answer:

Henry Mintzberg identified 10 roles that managers perform, grouped into three categories: Interpersonal, Informational, and Decisional. The CEO's actions in this scenario map directly to these categories:

A. Interpersonal Roles (Involving people and symbolic duties):

- **Figurehead:**
 - *Theory:* The manager performs symbolic legal or social duties.
 - *Scenario:* The CEO "represents the organization at a global conference." Here, the CEO is the face of the company, performing a ceremonial duty.
- **Leader:**
 - *Theory:* The manager motivates, encourages, and guides employees.
 - *Scenario:* By "ensuring communication across all divisions," the CEO is facilitating a cohesive work environment and leading the workforce toward common objectives.

B. Decisional Roles (Making choices and taking action):

- **Negotiator:**
 - *Theory:* The manager represents the organization in major negotiations.
 - *Scenario:* The CEO "negotiates mergers." This is a critical decisional role where the CEO bargains to protect the organization's interests and acquire new resources.
- **Entrepreneur:**

- *Theory:* The manager initiates change, new projects, or strategies to improve the organization.
- *Scenario:* The CEO "sets strategic goals." This involves spotting opportunities for growth and innovation, deciding the future path of the company.

C. Informational Roles (Processing information):

- **Disseminator:**

- *Theory:* The manager transmits information received from outsiders or subordinates to members of the organization.
- *Scenario:* The CEO "ensures communication across all divisions." This implies the CEO is acting as a conduit, ensuring that strategic goals and external info flow down to the relevant departments.

Conclusion: This scenario illustrates that a CEO's job is multifaceted. They don't just sit in an office; they must interact (Interpersonal), process and share data (Informational), and most importantly, take action on that data (Decisional) to drive the company forward.

4. A leading automobile manufacturer notices that the demand for its vehicles has declined due to an increase in petrol prices and the entry of a new competitor offering electric vehicles at lower prices. Meanwhile, the government is implementing policies to stabilize inflation and boost employment. Using the principles of microeconomics and macroeconomics, analyse how both these levels of economic study help in understanding and addressing this situation. (10 Marks)

Answer:

This situation requires a dual approach because business problems rarely exist in isolation.

1. Microeconomic Analysis (Study of Individual Units): Microeconomics helps the firm understand the specific behavior of its customers and competitors.

- **Understanding Demand & Cross-Price Elasticity:**

- *Petrol Prices (Complements):* Cars and petrol are complementary goods. Microeconomics states that when the price of a complement (petrol) rises, the demand for the related good (cars) falls. The firm can use this principle to forecast how much sales will drop.

- **Substitute Effect:**

- *Competitor (Substitutes):* The entry of lower-priced Electric Vehicles (EVs) creates a "substitution effect." Consumers will switch from the firm's petrol cars to the cheaper, more efficient EVs.

- **Strategic Response:**

- Based on this micro-analysis, the firm might decide to lower its own prices (if demand is price elastic), invest in its own EV technology, or differentiate its product (branding/luxury) to retain customers.

2. Macroeconomic Analysis (Study of the Economy as a Whole): Macroeconomics helps the firm understand the broader external environment shaped by the government.

- **Government Policy (Fiscal/Monetary):**

- The government's push to "stabilize inflation" suggests they might be raising interest rates or controlling money supply. For an automobile manufacturer, high interest rates usually mean expensive car loans for customers, which could further dampen demand.

- **Employment & Income:**

- Policies to "boost employment" aim to increase the aggregate income of the population. If successful, more people will have disposable income.

- **Strategic Response:**

- The firm can look at these macro indicators to predict long-term recovery. Even if sales are low now, a boost in employment suggests a future rise in purchasing power. The firm might prepare for a market upturn in 1-2 years.

Conclusion: Microeconomics helps the firm fight the immediate battle (competitors, petrol prices, consumer preferences), while Macroeconomics helps the firm navigate the war (national economic health, inflation, government regulation). Both are essential for survival.

5. Explain the two-sector circular flow model with the help of an example. How does it demonstrate the interdependence between households and firms in an economy? (10 Marks)

Answer:

The Two-Sector Circular Flow Model: This is a simplified economic model that assumes a closed economy with no government intervention and no foreign trade. It consists of two main sectors: **Households** and **Firms**.

The Two Flows:

1. Real Flow (Outer Loop):

- **Households to Firms:** Households own the factors of production (Land, Labor, Capital, Enterprise) and supply them to firms.
- **Firms to Households:** Firms use these factors to produce Goods and Services, which are then supplied back to the households.

2. Money Flow (Inner Loop):

- **Firms to Households:** Firms pay households for the factors of production in the form of Rent, Wages, Interest, and Profit (Factor Income).
- **Households to Firms:** Households spend this income to buy the goods and services produced by the firms (Consumption Expenditure).

Example: Imagine a simple economy with one shoe factory (**Firm**) and local residents (**Households**).

- **Step 1:** The residents work in the factory (providing Labor).

- **Step 2:** The factory pays them wages (Money Flow).
- **Step 3:** The factory produces shoes (Real Flow).
- **Step 4:** The residents use their wages to buy the shoes from the factory (Consumption Expenditure).

Demonstrating Interdependence: The model clearly shows that neither sector can survive without the other:

- **Firms rely on Households:** Firms cannot produce anything without the labor and capital supplied by households. They also cannot survive if households do not buy their products.
- **Households rely on Firms:** Households need the goods produced by firms to survive (food, clothes). They also rely on firms for the income (wages) needed to buy those goods.

Conclusion: The circular flow implies that production equals income, which equals expenditure. If one flow stops (e.g., households stop spending), the entire cycle collapses, leading to



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Semester : V	UG	Duration : 30 + 90 Min
Course Title: Principles of Management and Economics		Course Code : HS251TA

Note:

1. Answer all the Questions.

Sl. No.	Questions	M	BT	CO
Part – A				
1	Define organization structure?	1	L1	CO2
2	Define the term span of control.	1	L2	CO2
3	What does “threat of substitutes” refer to in Porters Five force Model?	1	L2	CO2
4	Who developed the concept of strategy in 1960s and is also called the father of strategic management?	1	L1	CO2
5	What are standing plans?	1	L1	CO2
6	If product passes through different stages of production, the suitable form of departmentation is _____.	1	L2	CO2
7	What is elasticity of demand?	1	L1	CO4
8	If the percentage increase in price is less than the percentage decrease in quantity demanded, the good is said to be highly _____.	1	L2	CO4
9	What do you understand by the term monopolistic competition?	1	L2	CO4
10	What does the term Equilibrium in Markets for Goods and Services mean?	1	L2	CO4
Part –B				
1	Discuss the key differences between strategic and tactical planning.	10	L2	CO2
2	Explain the term corporate strategy. Discuss the importance of corporate strategy for a large scale business enterprise.	10	L2	CO2
3	Discuss the effectiveness of mechanistic and organic structures in different environmental conditions.	10	L3	CO2
4	Illustrate with examples the various forms of departmentalization.	10	L2	CO2
5	What are the characteristic features of an oligopolistic industry? How does it differ from monopolistic competition?	10	L2	CO4

CIE 2 POME Economics Quiz Solutions

Part – A

1. Define organization structure? Answer: Organization structure is the framework or system that outlines how certain activities are directed in order to achieve the goals of an organization. It determines how information flows between levels within the company and defines the hierarchy, roles, and responsibilities.

2. Define the term span of control. Answer: Span of control (or span of management) refers to the number of subordinates or direct reports that a supervisor or manager can effectively and efficiently manage.

3. What does “threat of substitutes” refer to in Porters Five force Model? Answer: It refers to the availability of alternative products or services from outside the industry that can satisfy the same customer need. If close substitutes exist, it limits the industry's potential returns by placing a ceiling on prices.

4. Who developed the concept of strategy in 1960s and is also called the father of strategic management? Answer: Igor Ansoff. (He published his seminal work *Corporate Strategy* in 1965 and is widely acknowledged as the father of strategic management).

5. What are standing plans? Answer: Standing plans are plans designed to be used repeatedly for situations that occur frequently. Examples include policies, procedures, rules, and regulations.

6. If product passes through different stages of production, the suitable form of departmentation is _____. Answer: Process Departmentation (or Departmentation by Process). This groups activities based on the production processes or equipment used (e.g., drilling, grinding, welding, assembling).

7. What is elasticity of demand? Answer: Elasticity of demand is a measure of the responsiveness or sensitivity of the quantity demanded of a good or service to a change in one of its determinants, most commonly its price (Price Elasticity of Demand).

8. If the percentage increase in price is less than the percentage decrease in quantity demanded, the good is said to be highly _____. Answer: Elastic (or Price Elasticity > 1).
Reasoning: If the quantity change (numerator) is greater than the price change (denominator), the result is greater than 1, indicating elastic demand.

9. What do you understand by the term monopolistic competition? Answer: Monopolistic competition is a market structure characterized by many sellers offering products that are close substitutes but are **differentiated** (not identical) in branding, quality, or features. There are few barriers to entry or exit.

10. What does the term Equilibrium in Markets for Goods and Services mean? Answer:

Market equilibrium is the state where the quantity of goods supplied is equal to the quantity of goods demanded. At this equilibrium price, the market clears, meaning there is no surplus or shortage.

Part – B**1. Discuss the key differences between strategic and tactical planning. (10 Marks)****Answer:**

Strategic and tactical planning are both essential for organizational success but operate at different levels and time horizons.

Feature	Strategic Planning	Tactical Planning
Meaning	It is the process of defining the organization's long-term direction, vision, and high-level goals.	It is the process of breaking down strategic goals into specific, actionable steps for departments or teams.
Time Horizon	Long-term (typically 3 to 5+ years).	Medium to Short-term (typically 1 year or less).
Scope	Broad: Focuses on the entire organization.	Narrow: Focuses on specific departments, divisions, or functional areas (e.g., marketing, HR).
Responsibility	Top-level management (CEO, Board of Directors, C-suite).	Middle-level management (Department Heads, Managers).
Detail Level	General and conceptual; focuses on "What do we want to become?"	Detailed and specific; focuses on "How do we achieve this?"
Flexibility	Less flexible once set; changes usually require a major organizational pivot.	More flexible; can be adjusted quickly based on day-to-day operational realities.
Risk/Uncertainty	High uncertainty; deals with future market trends and external environment.	Lower uncertainty; deals with known resources and current internal environment.

Summary: Strategic planning is about doing the *right things* (effectiveness) to ensure long-term survival, while tactical planning is about doing *things right* (efficiency) to execute the strategy.

2. Explain the term corporate strategy. Discuss the importance of corporate strategy for a large scale business enterprise. (10 Marks)**Answer:**

Definition of Corporate Strategy: Corporate strategy is the highest level of strategy within a business. It defines the overall scope and direction of the corporation and the way in which its various business operations work together to achieve particular goals. It primarily answers the question: *"What business or businesses should we be in?"* It involves decisions regarding growth, stability, retrenchment, and diversification.

Importance of Corporate Strategy for Large Scale Enterprises:

1. **Sets Long-term Direction:** It provides a clear vision and roadmap for the entire organization, ensuring that all business units are moving towards a common goal rather than pulling in different directions.
2. **Resource Allocation:** Large enterprises have vast but finite resources (capital, talent, technology). Corporate strategy helps determine how to allocate these resources efficiently across different business units (e.g., using profits from a "Cash Cow" to fund a "Star").
3. **Competitive Advantage:** It helps the firm identify how to gain a sustainable edge over competitors by leveraging synergies between different business units (e.g., sharing a supply chain or brand reputation across products).
4. **Risk Management:** Through diversification strategies (entering new markets or product lines), corporate strategy helps spread risk. If one industry faces a downturn, the company can rely on revenue from other units.
5. **Decision Making:** It serves as a guide for lower-level managers. When middle managers understand the corporate strategy, they can make tactical decisions that align with the broader organizational objectives.
6. **Adaptation to Environment:** It allows large firms to scan the external environment (political, economic, social, technological factors) and pivot necessary operations to remain relevant and profitable in changing markets.

3. Discuss the effectiveness of mechanistic and organic structures in different environmental conditions. (10 Marks)

Answer:

Organizational effectiveness often depends on the "fit" between the structure of the organization and the environment in which it operates. This concept, known as Contingency Theory, suggests that there is no single best way to organize.

A. Mechanistic Structure

- **Characteristics:** Rigid hierarchy, high formalization, centralized decision-making, narrow span of control, and specialized tasks.
- **Best Environment: Stable and Predictable.**
 - **Effectiveness:** In a stable environment where market conditions, technology, and customer needs rarely change, mechanistic structures are highly effective. They focus

on **efficiency**, consistency, and cost-control. Standardized procedures ensure that routine tasks are performed perfectly every time.

- **Example:** A government agency or a mass-production manufacturing plant (like a bottling factory) works well here because the tasks are repetitive and the goal is error reduction.

B. Organic Structure

- **Characteristics:** Loose/flexible structure, low formalization, decentralized decision-making, wide span of control, and cross-functional teams.
- **Best Environment: Dynamic and Uncertain.**
 - **Effectiveness:** In a dynamic environment where technology shifts rapidly and competition is fierce, organic structures are superior. They focus on **adaptability**, innovation, and speed. Decentralization allows lower-level employees to react quickly to customer problems without waiting for approval from the top.
 - **Example:** A tech startup or a fashion design firm needs an organic structure to pivot quickly when trends change or new software is released.

Comparison Summary:

- **Mechanistic:** High Efficiency, Low Adaptability (Best for Stability).
- **Organic:** High Adaptability, Lower Efficiency (Best for Innovation/Change).

4. Illustrate with examples the various forms of departmentalization. (10 Marks)

Answer:

Departmentalization is the process of grouping activities into departments to achieve organizational goals. Here are the common forms:

1. Functional Departmentalization:

- **Description:** Grouping jobs based on the functions they perform.
- **Example:** A manufacturing company having separate departments for **Marketing, Finance, Human Resources, Production, and R&D**.
- **Benefit:** Promotes specialization and efficiency.

2. Product Departmentalization:

- **Description:** Grouping activities around a specific product line.
- **Example:** An electronics company like Samsung might have separate divisions for **Mobile Phones, Televisions, Home Appliances, and Computers**. Each division has its own marketing and production teams.
- **Benefit:** Focuses on the performance of specific products.

3. Geographic (Territorial) Departmentalization:

- **Description:** Grouping activities on the basis of territory or geography.

- **Example:** A multinational corporation like Coca-Cola might divide its operations into **North America, Europe, Asia-Pacific, and Latin America**.
- **Benefit:** Helps cater to local cultures, laws, and customer preferences.

4. Customer Departmentalization:

- **Description:** Grouping activities based on the type of customer served.
- **Example:** A bank may have separate departments for **Retail Banking (individual customers), Corporate Banking (business clients), and Wealth Management (high net-worth individuals)**.
- **Benefit:** Allows the organization to specialize in meeting distinct customer needs.

5. Process Departmentalization:

- **Description:** Grouping activities on the basis of production processes or equipment.
- **Example:** A textile mill might be organized into **Spinning, Weaving, Dyeing, and Printing** departments. A product must pass through these departments in sequence.
- **Benefit:** Increases efficiency in the flow of work.

5. What are the characteristic features of an oligopolistic industry? How does it differ from monopolistic competition? (10 Marks)

Answer:

Characteristic Features of an Oligopoly: An oligopoly is a market structure dominated by a small number of large firms.

1. **Few Sellers:** The market is controlled by a few large firms (e.g., the airline or automobile industry).
2. **Interdependence:** The actions of one firm significantly impact the others. If Firm A lowers prices, Firm B is forced to react. This leads to strategic behavior (Game Theory).
3. **Barriers to Entry:** High barriers such as high capital investment, patents, or control over raw materials prevent new firms from entering easily.
4. **Price Rigidity:** Prices tend to remain stable (sticky) because firms fear a price war. Instead of price competition, they engage in non-price competition (advertising).
5. **Product Nature:** Products can be homogeneous (steel, cement) or differentiated (cars, smartphones).

Difference between Oligopoly and Monopolistic Competition:

Feature	Oligopoly	Monopolistic Competition
Number of Sellers	Few large sellers dominate the market.	Many sellers, none of whom dominate.
Control over Price	Significant , but limited by the reaction of rivals (Interdependence).	Limited control; firms are price setters to an extent based on brand power.

Barriers to Entry	High barriers (difficult to enter).	Low barriers (easy entry and exit).
Nature of Product	Can be identical (homogenous) or differentiated.	Products are always differentiated (substitutes exist but are not identical).